

taught and at the methods they practice, and realize that they will continue to practice, can vary a lot. It was symptomatic that almost all people who attacked my thinking attacked a deformed version of it, like “it is all random and unpredictable” rather than “it is largely random,” or got mixed up by showing me how the bell curve works in some physical domains. Some even had to change my biography. At a panel in Lugano, Myron Scholes once got in to a state of rage, and went after a transformed version of my ideas. I could see pain in his face. Once, in Paris, a prominent member of the mathematical establishment, who invested part of his life on some minute sub-sub-property of the Gaussian, blew a fuse—right when I showed empirical evidence of the role of Black Swans in markets. He turned red with anger, had difficulty breathing, and started hurling insults at me for having desecrated the institution, lacking *pudeur* (modesty); he shouted “I am a member of the Academy of Science!” to give more strength to his insults. (The French translation of my book was out of stock the next day.) My best episode was when Steve Ross, an economist perceived to be an intellectual far superior to Scholes and Merton, and deemed a formidable debater, gave a rebuttal to my ideas by signaling small errors or approximations in my presentation, such as “Markowitz was not the first to ...” thus certifying that he had no answer to my main point. Others who had invested much of their lives in these ideas resorted to vandalism on the Web. Economists often invoke a strange argument by Milton Friedman that states that models do not have to have realistic assumptions to be acceptable—giving them license to produce severely defective mathematical representations of reality. The problem of course is that these Gaussianizations do not have realistic assumptions and do not produce reliable results. They are neither realistic nor predictive. Also note a mental bias I encounter on the occasion: people mistake an event with a small probability, say, one in twenty years for a periodically occurring one. They think that they are safe if they are only exposed to it for ten years.

I had trouble getting the message about the difference between Mediocristan and Extremistan through—many arguments presented to me were about how society has done well with the bell curve—just look at credit bureaus, etc.

The only comment I found unacceptable was, “You are right; we need you to remind us of the weakness of these methods, but you cannot throw the baby out with the bath water,” meaning that I needed to accept their reductive Gaussian distribution while also accepting that large deviations could occur—they didn’t realize the incompatibility of the two approaches. It was as if one could be half dead. Not one of these users of portfolio theory in twenty years of debates, explained *how* they could accept the Gaussian framework as well as large deviations. Not one.